pattern of society as their policy and have established and are running several enterprises in the purely private goods and services space.

The additional responsibility of redistribution is expected to be financed from revenue collected from taxes and working of natural/common resources. However, additional expenditure on public enterprises and economic support to preferred groups of people, as it is expected to be paid back, is usually met by raising public debt. As these responsibilities have widened quite a bit and these investments have not yielded returns to pay off the debt taken, governments have tended to take more debt to meet the resource shortfall.

Central Government Expenditures Reflect the Biases, Priorities and Structure of the Planned Era

The Constitution of India speaks of the division of Central government expenditure in two broad categories of revenue expenditure and capital expenditure. It also has a small set of expenditures classified as charged expenditure on which the Parliament has no right to vote to recognize the obligatory nature of such expenditures. The Constitution gives complete latitude to the government to plan expenditures according to its priorities and present these as grants for approval of Parliament. In practice, the Parliament has never disagreed with the expenditure proposals presented by the government.

Deeply influenced by the Soviet model of planned development, in the 1950s, the government decided to classify expenditures in two principal categories of ‘development expenditure’ and ‘non-development expenditure’. While development expenditure was given priority, considered as ‘good’ expenditure, and was accorded ever-increasing allocations, non-development expenditure, considered not so good, was muzzled.